higher than the National Income for 2007–08 at current price of ₹ 13200. But National Income for 2008–09 at constant price is ₹11000 which is less than the National Income for 2007–08 at constant price of ₹12000. This is because the actual quantity produced in 2008–09 is less than that of 2007–08. It means no real growth has taken place in 2008–09. The high income at current price is due to the increase of price in the year 2008–09.

GDP Deflator

The GDP deflator (implicit price deflator for GDP) is a measure of the level of prices of all domestically produced final goods and services in an economy in a particular period of time. This is calculated to find the overall rise in the level of price.

GDP Deflator = Nominal GDP/Real GDP × 100

In our above example, the nominal GDP is₹14300 and real GDP is ₹ 11000 for 2008–09

GDP Deflator = 14300/11000 × 100 = ₹130

Therefore the price is 130%. It means price rise of 30% i.e. (130 – 100 = 30)

If the increase in price is already known, the real GDP can be calculated from nominal GDP.

Real GDP =Nominal GDP / GDP deflator.

National Income Growth

National income growth $_{\text{at current price}}$ = (National Income of this year $_{\text{at current price}}$ – National Income of previous year at current price) / National Income of previous year $_{\text{at current price}}$ × 100.

In our example, National Income growth $_{\text{at current price}}$ for 2008–09 =